AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B292
Management Accounting

Final Examination / Version: B
2024-2025 / Fall

4-Jan-2025

AOU EGYPT

ımber of Exam Pages: 3 cluding this cover sheet)	**Time Allowed:** **3 Ho**

structions:

ke **FIVE (5)** minutes to read all instructions carefully before attempting to write.
›bile phones must be in "SWITCHED **OFF"** mode throughout the examination.
is is a **CLOSED** book examination. NO documents of any kind are allowed.
›u **MUST** answer the questions using only the answer booklets provided
›u **MUST** return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches
dents are **NOT** allowed to use any type of dictionary or mobile phones during the e
dents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Po

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Question 1 (20 marks)

Implementation of a company's strategic plan often begins by determining management's basic expectations about future economic, competitive, and technological conditions, and their effects on anticipated goals, both long-term and short-term. Many firms at this stage conduct a situational analysis that involves examining their strengths and weaknesses and the external opportunities available and the threats that they might face from competitors. After performing the situational analysis, the organization identifies potential strategies that could enable achievement of its goals. Part of this process involves business managers creating budgets to plan for future operations, create benchmarks to measure progress, and maintain necessary accounting controls.

Required:

A. Clearly define and explain the nature of a Master budget and why it is important to prepare such a budget. **(5 Marks)**

B. Besides preparing the master budget, management accounting is also involved in the role of preparing functional budgets. Among these functional budgets are the Sales, production and cash budget. Discuss the nature of these budgets and 3 factors that need to be considered in preparing these budgets. **(15 Marks)**

Question 2 (40 marks)

Marantz Inc. produces various AV devices with a wide assortment of different models fo its customers. One item, AV3100 is very popular. Keen of keeping its stock under control a decision is taken to order only the optimum economic quantity, for this item, each time You have the following information.

Annual demand (units)	48,600
Purchase price per unit	$ 250
Carrying/Holding costs per unit	$ 6
Cost per order	$ 200

Required:

A. Determine the EOQ using the equation method. **(9 marks)**

B. Fill in the blanks in the following table using the above data. **(12 marks)**

No. of orders	1	10	20	30	90	120
Order size						
Average stock						
Carrying (Holding) costs						
Order costs						
Total costs						

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C. Calculate the holding, ordering cost & their total cost at the EOQ level. **(5 marks)**

D. Plot the graph at the EOQ level showing the numbers **(2 marks)**.

E. Marantz Inc. has been offered a 3 per cent discount on the cost if it places orders in quantities of 18,200. Discuss whether the company should accept the discount and place larger orders, show your workings. **(12 marks)**

Question 3 (40 marks)

Planet9 Co., recently introduced a product called Vatik in order to complement its other products, Nova and Yeta. The accountant used to allocate the indirect cost according to the units produced. With the recent addition of an expanded computer system, Plante9 would like to investigate the possibility of implementing ABC. Before making a final decision, management has come to you for advice. You collected the following information regarding manufacturing overhead:

Table (1)

Mfg. Overhead	Mfg. Overhead Costs	Allocation bases
Set-up	$ 50,000	Number of set-ups
Ordering materials	$ 50,000	Number of material orders
Handling materials	$ 8,000	Number of times material was handled
Inspection	$ 22,500	Number of inspection hours
	$130,500	

Table (2)

Activity	Products		
	Vatik	Nova	Yeta
Total Number of set-ups	5	20	55
Total Number of material orders	1	2	7
Total Number of times material was handled	1	2	17
Total Number of inspection hours	3	2	10
Number of units produced	6,000	3,000	1,000

Required:

A. Calculate the manufacturing overhead allocated for each product under ABC method. (20 marks)

B. Calculate the manufacturing overhead allocated for each product under the traditional costing method. (10 marks)

C. Prepare a table showing the cost distortion for each product under the two methods. (10 marks). Which of the two methods you would recommend and why?

END OF EXAM

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